



SILVER SHORE
Off-Market M&A Deal Network

Due Diligence Request List and Checklist

Quick Reference Guide for Lower Middle Market Acquisitions

This document helps buyers move through diligence in clear checkpoints so you can decide early, ask for what you will actually use, and avoid getting anchored on a bad deal.

How to use this document

This checklist follows a checkpoint approach where each phase ends with a decision. You advance only if the business still fits your criteria and passes key tests.

- ★ **Phase 1 Initial Screening:** Request basic financials, review, then decide if this meets your criteria and if any deal killers exist
- ★ **Phase 2 Detailed Review:** If you are satisfied after Phase 1, request operational & balance sheet details, review, then decide if this is investable and worth making an offer
- ★ **Phase 3 Comprehensive Due Diligence:** If you are satisfied after Phase 2, request full diligence materials under LOI, review, then confirm the deal or walk away

Note: Only request information you will use to make a decision. Every request should serve a specific checkpoint question.



Due Diligence Request List and Checklist

At each checkpoint, ask yourself

- Does this still fit my investment thesis
- Have any red flags emerged that change my interest
- What is my confidence level in the numbers
- Am I willing to commit more time and resources

If the answer is no at any stage, stop. This respects your time and the owners time and prevents you from getting anchored on a bad deal.

Phase 1: Initial Screening (Is This Worth Pursuing?)

Goal: Confirm the business passes your basic criteria before investing significant time into diligence.

What you are deciding in Phase 1

Is revenue consistently in your target range. Are margins acceptable? Are customer concentration manageable?
Does the owner seem credible and responsive?

What to request

- Last 3 years of P&L statements, monthly or annual
- Current year P&L through the most recent month
- Last 2 years of business tax returns if the owner is comfortable
- Top customers list or top 10 to 20 customers with approximate revenue
- Basic employee roster with names, roles, and tenure, informal is fine
- Website, capability statement, or any existing marketing materials

Why it matters

- P&L statements show revenue trends, margin structure, and expense patterns
- Tax returns help validate that reported revenue aligns with filings and clarifies accounting differences
- Customer information reveals concentration risk and revenue durability
- Employee information shows owner dependency and basic team depth



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Checkpoint decision 1: Do you move to Phase 2?

Green flags mean you should move forward, **Red flags** mean you should stop or renegotiate, **Grey flags** mean proceed with caution.

Green flags

- Revenue is within your target range or close enough to justify flexibility
- The business is growing or stable and not declining more than 10% without a clear recovery plan
- Margins are acceptable for the industry
- No single customer is above 40% of revenue or the relationship is protected by a verifiable long term contract
- Owner is professional and responsive

Red flags

- Revenue is far outside your range
- Revenue is declining more than 15% year over year with no clear explanation
- Margins are far below industry norms with no credible plan
- One customer is above 50% of revenue with no long term contract
- Owner is evasive, defensive, or slow to provide basic information

Grey flags

- Revenue is at the low end of your range but growing quickly
- One customer is 30 to 40% but has been stable for 5 or more years
- Owner is disorganized but transparent and cooperative
- Margins are lower than ideal but explainable and improving

How to request Phase 1 information

Sample language: Thanks for taking the time to connect. I would like to review your financials and get a sense of your customer base ahead of our next conversation. Could you share your P and L statements for the last 3 years and a list of your top customers. This helps me come prepared with thoughtful questions rather than asking you to walk through the basics.

Note: Avoid sending a long request list on first contact. Keep requests tight, explain why, and ask only for what you will actually use.

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Phase 2: Detailed Review (Is This Investable?)

Goal: Understand operating details, validate the financial story, and surface hidden risks before you decide to submit an LOI.

What you are deciding in Phase 2

Can you make the numbers work? Are there operational risks that change your view? Is the business transferable? Do you want to make an offer?

What to request

- Balance sheet for the last 2 years
- Accounts receivable aging report, current
- Accounts payable aging report, current
- Monthly revenue by customer for the last 12 months
- Schedule of owner compensation, benefits, and personal expenses run through the business
- Contracts for top customers if available
- Key supplier and vendor list with annual spend
- List of equipment, vehicles, and real estate owned or leased
- Insurance certificates for key policies
- Org chart showing reporting structure
- List of active or threatened litigation
- Licenses or certifications required to operate
- Employment agreements for key staff if they exist

Why it matters

- The balance sheet shows working capital, debt, and how the business is funded day to day
- AR & AP aging show payment behavior, collection issues, & whether they pay bills on time
- Revenue by customer confirms concentration, seasonality, and customer health
- Owner compensation and personal expenses inform add backs and true cash flow
- Contracts and suppliers reveal transfer risk and dependency
- Assets and leases clarify capex needs and what you are actually buying
- Litigation and licensing issues can delay or kill deals



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Checkpoint decision 2: Do you make an LOI

Green flags support an LOI, **Red flags** mean stop or restructure, **Grey flags** mean price and terms should reflect the risk.

Green flags

- Working capital is healthy and supports operations
- Customers pay on time with typical collection cycles
- Concentration risk is manageable or mitigated
- Owner compensation is explainable and you can support a market rate replacement
- Key relationships can transfer with a realistic transition plan
- No major compliance or legal issues that change the risk profile
- You see a clear path to returns at a reasonable valuation

Red flags

- Working capital is deeply negative and requires a significant cash injection
- Systemic collection issues show in aging reports
- Concentration is extreme and retention cannot be verified
- Cash flow cannot support a replacement operator and your target returns
- The business depends entirely on owner relationships with no transfer path
- Active litigation or licensing problems with no resolution path
- Numbers do not support the asking price even with optimistic assumptions

Grey flags

- Working capital is tight but manageable with structure adjustments
- A concentrated customer may sign a new contract post close
- Owner compensation includes non essential family payroll you can replace
- Owner dependency exists but can be reduced with a defined transition

How to request Phase 2 information

Sample language: I enjoyed our conversation and I am excited about the business. To decide whether to move forward, I need to understand the financial details more deeply. Could you share the balance sheet, AR & AP aging, & monthly revenue by customer? I would also like a breakdown of what your total personal compensation is so I can model cash flow accurately.

Note: Do not request items the owner clearly does not have. If contracts do not exist, document the risk and adjust terms instead of demanding documents.



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Phase 3: Comprehensive Due Diligence (Confirm or Walk Away)

Goal: Verify everything, find hidden issues, & confirm valuation once you are under LOI & exclusivity.

What you are deciding in Phase 3

Do you close as structured, renegotiate based on findings, or walk away.

What to request under LOI

- Detailed general ledger for the last 3 years
- Bank statements for the last 24 months
- Business credit card statements for the last 24 months
- Support for every add back claimed
- Depreciation schedule
- Detailed breakdown of cost of goods sold by category
- All outstanding debt agreements and payment schedules
- Complete customer contracts and statements of work
- Supplier and vendor contracts
- Real estate, equipment, and vehicle leases
- Employee offer letters and compensation details
- Employee handbook if it exists
- Full insurance policies, not only certificates
- Intellectual property assignments and work for hire agreements
- List of software subscriptions with costs and admin access
- Access to CRM and operational systems for review
- Website and domain ownership documentation
- Formation documents and ownership records
- All contracts with meaningful annual value
- Regulatory inspection reports or audit findings if applicable
- Business tax returns for the last 3 years, full returns

Why it matters

- The general ledger and bank statements validate that the P&L reflects real cash activity
- Contracts reveal termination rights and change of control clauses that can threaten retention
- Debt agreements prevent surprises that can blow up economics at closing
- Add back support protects you from inflated EBITDA claims
- Assets, leases, and depreciation indicate capital needs and replacement risk
- Systems and software are often critical to operations and must transfer cleanly
- Corporate documents confirm authority to sell and prevent hidden ownership surprises



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Checkpoint decision 3: Close, Renegotiate, or Walk

Use these outcomes to guide your decision once diligence is complete.

Close as agreed

- Quality of earnings confirms results within 10% of what was represented
- No material undisclosed liabilities are discovered
- Key contracts are transferable without major issues
- Add backs are validated and reasonable
- Working capital target aligns with expectations
- You still believe in the thesis after seeing everything

Renegotiate

- EBITDA is meaningfully lower than represented and price should adjust
- Undisclosed liabilities exist but are not deal killers
- Concentration or retention risk is worse than disclosed and terms should protect you
- Working capital is lower than expected and the structure should adjust
- Capex needs are higher than expected and valuation should reflect that

Walk away

- EBITDA is more than 25% lower than represented
- Material misrepresentation or fraud is discovered
- A key customer is planning to leave and the business will not hold post close
- Undisclosed debt or liabilities are significant
- Critical contracts are not transferable
- Trust is broken and you cannot rely on what you are being told

Note: Getting to LOI does not mean you must close. Walking away from a bad deal is a win.

Final thoughts

Due diligence is about building confidence, not creating anxiety. Be thorough and respectful. Treat the owner like a partner, ask clear questions, and use each phase to decide whether to commit more time.

